

The Score

You are now up to speed on credit reports. The next item on the agenda: the credit score, the most important piece of information on your financial resume! The higher the score, the better. The credit score is something that the banks can hang their hat on when determining how to pass out interest rates.

You are
nothing
but a number.

The credit score is calculated using an “algorithm.” That is an intimidating word, meaning *complex mathematical formula*. The various data and bits of information from your credit report are thrown into the top-secret computer and cranked and yanked. The resulting score is between 300 and 850. Why they didn’t go with 1 – 10 is beyond me. I like to keep things simple; they like to keep us confused.

That number, the powerful credit score, determines what kind of interest rate the banks, the credit card companies, and the mortgage companies will give you.

A few years ago, if you got a credit score in the upper 700s, you were the top choice of lenders. Take a bow. Today you are still considered an “excellent” credit risk, and you should be able to get the best interest rates and the best terms on your credit cards and your home mortgage loans. You, however, are not the ideal customer for the fee-addicted lenders. They want someone who will miss a payment or be late occasionally. Ch-ching, ch-ching.

If you score in the middle, or lower, you are the one they want. The banks and creditors may label you a “questionable” credit risk. It does not mean that they will deny your credit application; it means that they will gladly welcome you into their web of high interest rates and penalties and fees.

It’s Nothing Personal

Your credit score is based upon your financial information, nothing else. Because the computer is cranking out numbers and formulas, there is supposedly no room for human bias in the scoring system. The